

2.2 Valuation Ratios for Individual Stocks



Should we buy HDFC Ltd. shares at current levels?



Is Reliance an over-priced stock in the market?

Valuation ratios tell you about the market value a company's stock in comparison to its earnings, assets, or other fundamental measures. This can help you determine if a stock is overvalued, undervalued, or at a fair price.



1 Price / Earning

Current Price

TTM Diluted EPS

Formula: Current price/ TTM Diluted EPS

TTM is an abbreviation for "trailing 12 months." It depicts a company's financials for the last 12 months. The financial numbers for the previous four quarters are included in the trailing twelve months' results, which represent a fair and updated business performance.

Lets say, it is January 2022

$$\text{TTM} = \text{Q4}_{\text{FY21}} + \text{Q1}_{\text{FY22}} + \text{Q2}_{\text{FY22}} + \text{Q3}_{\text{FY22}}$$

So, it's the last four quarters number we add to get TTM.